Your stand. Your decisions.

Name: _____ Hour: _____ Team: _____

You run a prepared-drink stand after school. Each round is a separate day with a fresh $100 budget. Your goal: earn a profit and explain the choices that produced it.

Price: $2, $3, or $4. Stock: 20, 30, or 40 drinks. Cost per drink: $1 in rounds 1-3; $1.50 in round 4. Add a $10 daily stand fee. Unsold drinks are discarded.

1 / Decide before the reveal

Think alone for 30 seconds. Agree as a team. Record your price and stock before the teacher reveals demand. Rotate who explains the decision each round.

Round	Price	Stock	Our reason, using the forecast
1			
2			
3			
4			

2 / Calculate after the reveal

Sold = smaller of stock or demand. Revenue = sold x price. All costs = stock x unit cost + $10. Profit = revenue - all costs. Unsold = stock - sold.

Round	Demand	Sold	Unsold	Revenue	All costs	Profit
1						
2						
3						
4						

Total profit across all four days: $_____

Explain the result.

Name: _____ Hour: _____ Team: _____

1. Find one round where your team had unsold drinks or unmet demand. How many? What would you change next time, and what tradeoff would that create?

2. Compare two choices from the final round. Show how a stand with higher revenue could have lower profit. Use the comparison table your teacher shows.

3. In Round 2, why did demand increase at every listed price? How is this different from selling more because you lowered your own price?

Individual exit ticket

4. A stand buys 30 drinks at $1.50 each, pays a $10 fee, and sells 24 drinks for $3 each. Calculate revenue, all costs, profit, and unsold drinks.

Revenue: $_____ All costs: $_____ Profit: $_____ Unsold: _____

5. You choose to stock 30 drinks. Your next-best alternative was to stock 20. What is the opportunity cost of your choice? Explain the single alternative you gave up.

One number I would want before running a real stand: _____